

CHAPTER THREE

BUSINESS PLANNING

The will to win is worthless if you do not have the will to prepare (Thane Yost)

What is a business plan?

❖ *A business plan is:*

- ✓ is a written document describing all relevant internal and external elements and strategies for starting a new venture
- ✓ a comprehensive set of guidelines for a new venture.
- ✓ a detailed plan setting out objectives of a business over a stated period, often three, five, or ten years.
- ✓ a written statement that describes and analyzes our business and gives detailed projections about its future.

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- is the road map that answers the following basic questions:
 1. *Where am I now?*
 2. *Where am I going?*
 3. *How will I get there?*

Purpose of Business Plan

- Some entrepreneurs simply start a business without understanding the benefits of formal planning.
- However experts strongly recommend that preparing a business plan is extremely important in today's dynamic business environment.
- For most ventures a business plan is a dual purpose document used both inside and outside the firm.

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- Inside the firm, the plan helps the company to develop a road map to follow in executing its goals and strategies
- Outside the firm it introduces potential investors and other stakeholders to the business opportunity the firm is pursuing and how it plans to pursue it.

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- *A Business plan has the following specific purposes among others:*
 - *Helps to attract finance/Money-* Most lenders or investors require a sound business plan before they consider your proposal for funding.
 - *Helps you keep on track-* A written business plan gives you a clear course toward the future and makes your decision making easier.
 - **Lets you Improve your Business concept by considering alternative scenarios-**
Writing a plan allows you to see how changing parts of the plan increases profits or accomplishes other goals.

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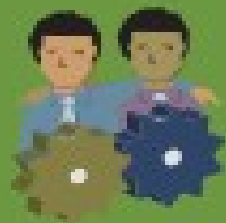
- *Lay out a master blue print-* It shows you the logical progression of steps needed to reach your stablished goals.
- *Communicate your master plan to the members of your team-*allow you to communicate about the goals and action steps to realize them.
- *Entails taking a long term view of the business and its environment*
- *focus individual efforts and assist personal motivation*
- *allocate the company's resources towards specific ends*
- *underpin the process of control*

Users of Business Plan

Insiders



- Entrepreneur and Management Team



- Employees

Outsiders



- Potential Customers



- Lenders



- Suppliers



- Investors

Family and
Friends

Private
Investors

Venture
Capitalists

Business plan helps the insiders and outsiders in the following ways

- helps the entrepreneur and the management team focus on important issues and activities for the new venture
- helps the entrepreneur communicate his or her vision to current—and prospective—employees of the firm
- Helps them to convince the outsiders
- Help the employees to understand the goals and objectives of the business and what is expected of them to realize the goals

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- suppliers want to see a business plan before signing a contract to produce either components or finished products or even to supply large quantities of materials on consignment.
- Customers may also want to review the plan before buying a product the may require significant long-term commitment.

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- investors want to make sure that the entrepreneur is compliant and willing to accept their involvement in the business and how much rates of return is expected
- lenders are primarily interested in the ability of the new venture to pay back the debt including interest within a designated period of time.

Guidelines to Write an effective Business Plan

1. *Keep confidentiality*- be cautious about divulging certain information such as the details of a technological design, highly sensitive marketing strategy and etc.
 - indicate that all information in the plan is proprietary and confidential and request all recipients of the plan to acknowledge their receipt in writing.
2. *Use good grammar*- review it again and again or find a good editor so that it will become more attractive to the readers.

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3. ***Limit the presentation to a reasonable length-*** The goal is not to write a long business plan, but to write a good business plan so identify and briefly describe the important factors in an organized way.
3. ***Go for an attractive, professional appearance-*** add interest and aid readers by using visual aids, such as graphs, exhibits, and tabular summaries and etc.

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- 5. *Provide solid evidence for any claims-* Provide factual support for any claims or assurances made.
- 5. *Describe the product in lay terms-* Present your product/service in simple, understandable terms, and avoid the temptation to use too much industry jargon.
- 5. *Emphasize the qualifications of the management team* - investors first look at the management team in terms of relevant experience and only then assess the product/service.

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8. *Analyze the market thoroughly-* show in your plan where your business will fit in the market and what your competitors' strengths and weaknesses are
8. *Include financial statements that are neither overly detailed nor incomplete-* provide incomplete financial statements, give exhaustive list of the assumptions that underlie the financial information, and make sure that the numbers make sense.
8. *Don't hide weaknesses—identify potential fatal flaws-* be open and straightforward about potential problems and have an action plan to effectively addresses them.

When Business Plans Are Produced?

1. *At the start up of A new business:* After the initial stage of developing ideas and feasibility study are over.
 2. *Business Purchase:* Buying an existing business need it for a detailed plan tests & the sensitivity of changes to key business variables.
- This helps to understand the level of risk that are accepted and the likelihood of rewards being available for the buyers.

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3. *Ongoing process*: Ongoing review of progress, against the objectives & important dynamics in environment.
 - A business plan should be the live, strategic, and technical planning focusing on how a small business responds to the inevitable changes around it.
4. *Major decisions*: Even if planning is not carried out on a regular basis, it is usually instigated at a time of major change.

Contents of a business plan

- It is important to note that the format of a business plan, the amount of detail it contains, and the visual presentation may vary according to the intended use and readership.
- However a winning business plan should not miss important elements needed to attract finance and other valuable information regarding the establishment and growth of the venture.
- Most business plans contain the following major sections though there are still variation in terms of order and title.

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1. *Cover Page* - name of the business, its address and phone number, and the date the plan was issued.

2. *Table of content*- allow the reader to turn directly to the sections desired.

3. *Executive Summary*- a one- to two-page overview of your entire plan.

- used to spark the reader's interest in the business and to highlight crucial information about company information, financial data, market information and etc.

4. *Company information*- describe the background of your company, your choice of legal business form, and the reasons for the company's establishment.

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5. Environmental and industry analysis

show how your business fits into larger contexts

- environmental analysis shows identified **trends and changes that are happening at the national and international** levels that may influence the future of your small business.
- Asses the **economic, competitive, legal, political, cultural, and technological factors**
- You should do an **industry analysis** describing the industry within which your business operates.

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- Describe the major **competitors** in your industry, their growth trends, their exit and entry situation.

6. Products or Services description

- Give detail description of your product or service
- How your products/service are different from those currently available in the market?
- If possible (appropriate) include drawings or photos of the proposed product.
- Describe any patents or trademarks that you hold

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7. Marketing research and evaluation

- You need to present evidence that a market exists for your business.
- Indicate your primary and secondary sources of data
- the methods you used to estimate market size and market share.

Involves the identification of:

- Target markets and market segmentation
- Market trends
- Competition
- Market Share-percentage of the total industry sale
- Marketing Plan-how you intend to achieve sales forecast

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Consider the following as part of **marketing plan**

- Pricing
- Promotion
- Place/distribution
- Service and warranty Policies-if engaged in products that require service

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8. Manufacturing and operations plan

- Describe elements related to your business's production.
- Describe facilities, location, space requirements, capital equipment, labor force, inventory control system, and purchasing issues.

9. Management Team

- Show that your team is balanced in terms of technical skills (possessing the knowledge specific to your type of business), business skills (the ability to successfully run a business), and experience.

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10. Timeline- Create a timeline, outlining the interrelationships and timing of the major events planned for your venture.

11. Critical risks and assumptions

- assumptions such as how your business will operate,
- what economic conditions will be
- how you will react in different situations
- risks and assumptions could relate to your industry, markets, company, or personnel.
- This section gives you a place to establish alternate plans in case the unexpected happens.

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- Thus major trends, problems, or risks that you think you may encounter should be indicated

12. ***Benefits to the Community:*** Describe the potential benefits to the community.

- **Human development-** providing technical skills or other trainings, that lead to career advancement,
- **Community development-** improving standard of living
- **Economic development-** like number of jobs created

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13. Exit Strategy

- consider how you intend to get yourself (and your money) out of it.
- Do you intend to sell it in 20 years?
- Will your children take it over? How will you prepare them for ownership?

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14. Financial Plan

- financial plan should include the following statements.
 - historical statements and pro forma projections for existing businesses, and only projections for startups)
1. **Sources and uses of funds-** this section shows where capital comes from and what it will be used for
 2. **Cash-flow projections-** shows the amount of money a business has on hand at the beginning of a time period, receipts coming into the business, and money going out of the business during the same period

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- 3. Balance sheet-** A financial document that shows the assets, liabilities, and owner's equity for a business.
- 4. Profit-and-loss statement-** A financial document that shows sales revenues, expenses, and net profit or loss.
- 5. Breakeven point-** The point at which sales and costs are equal and a business is neither making nor losing money.

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15. Appendix

- Résumés of owners/managers
- advertising samples
- brochures,
- organization chart

Business Plan Mistakes

- Depending on outdated financial information or industry comparisons.
- Trying to impress financiers with techno jargon. Better to use easy and common languages to allow others understand the plan
- Lacking marketing strategies
- Being overly optimistic.
- Ignoring the macro environment.
- Misunderstanding financial information.

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- Avoiding or disguising potential negative aspects.
- You look naive or devious if you fail to mention possible problems, or misrepresent them.

Additional example on outline of a business plan

- I. Introductory Page
 - A. Name and address of business
 - B. Name(s) and address(es) of principal(s)
 - C. Nature of business
 - D. Statement of financing needed
 - E. Statement of confidentiality of report
- II. Executive Summary—Two to three pages summarizing the complete business plan
- III. Industry Analysis
 - A. Future outlook and trends
 - B. Analysis of competitors
 - C. Market segmentation
 - D. Industry and market forecasts
- IV. Description of Venture
 - A. Product(s)
 - B. Service(s)
 - C. Size of business
 - D. Office equipment and personnel
 - E. Background of entrepreneur(s)
- V. Production Plan
 - A. Manufacturing process (amount subcontracted)
 - B. Physical plant
 - C. Machinery and equipment
 - D. Names of suppliers of raw materials
- VI. Operations Plan
 - A. Description of company's operation
 - B. Flow of orders for goods and/or services
 - C. Technology utilization

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- VII. Marketing Plan
 - A. Pricing
 - B. Distribution
 - C. Promotion
 - D. Product forecasts
 - E. Controls
- VIII. Organizational Plan
 - A. Form of ownership
 - B. Identification of partners or principal shareholders
 - C. Authority of principals
 - D. Management team background
 - E. Roles and responsibilities of members of organization
- IX. Assessment of Risk
 - A. Evaluate weakness(es) of business
 - B. New technologies
 - C. Contingency plans
- X. Financial Plan
 - A. Assumptions
 - B. Pro forma income statement
 - C. Cash flow projections
 - D. Pro forma balance sheet
 - E. Break-even analysis
 - F. Sources and applications of funds
- XI. Appendix (contains backup material)
 - A. Letters
 - B. Market research data
 - C. Leases or contracts
 - D. Price lists from suppliers

Please Refer Rebert Hisrich, Michael Peters and Dean Shepherd (2017) Entrepreneurship 10th edn for the details on this template